need for China's neigh-bours, such as India, to hedge. China's remarkable progress is combined with its natural urge for hegemonism. China's primary objective seems to be to become the co-equal of the United States globally. A lesser, and more realistic, objective is to become the hegemon in Asia and leave the United States to manage the rest of the world. Faced with this, India has no option but to pursue both cooperative engagement with China and balance of power towards it. Indeed, India has to pursue the two tracks simultaneously. In the author's view, the two complement rather than contradict each other. Cooperation and competition, interdependence and balancing, are not contrasting approaches in diplomacy. As Hal Brands has noted, the task of policymakers is "not to foreclose options but to keep them open for as long as possible [in the] hope that nuanced statecraft can mitigate the drawbacks inherent in a given approach."[3]

The last 20 years have witnessed the deepening of economic cooperation and diplomatic engagement between India and China. Bilateral trade shot up from a little more than US$1.6 billion in 1998 to more than $87 billion in 2018–19. Because India's trade deficit with China also increased dramatically during this period, standing at over $53.5 billion in 2018–19, India has also encouraged the growth of Chinese investments in its economy, which now exceed $8 billion.[4] Increasing bilateral trade and investment have been accompanied by frequent interactions between Indian and Chinese leaders and officials in both bilateral and multilateral forums. Engh's chapter in this volume provides a concise, yet comprehensive, picture of these contacts during the last few years.

At the same time, however, India's past experience shows that without its own internal strength and external balancing, the track of cooperation will not simply work. In 1962, when India was militarily weak and vulnerable, it tempted the Chinese leadership to initiate armed conflict. In 1998,